

error—often called margin of safety—is one of the most underappreciated forces in finance. It comes in many forms: A frugal budget, flexible thinking, and a loose timeline—anything that lets you live happily with a range of outcomes.

It's different from being conservative. Conservative is avoiding a certain level of risk. Margin of safety is raising the odds of success at a given level of risk by increasing your chances of survival. Its magic is that the higher your margin of safety, the smaller your edge needs to be to have a favorable outcome.

3. A barbelled personality—optimistic about the future, but paranoid about what will prevent you from getting to the future—is vital.

Optimism is usually defined as a belief that things will go well. But that's incomplete. Sensible optimism is a belief that the odds are in your favor, and over time things will balance out to a good outcome even if what happens in between is filled with misery. And in fact you *know* it will be filled with misery. You can be optimistic that the long-term growth trajectory is up and to the right, but equally sure that the road between now and then is filled with landmines, and always will be. Those two things are not mutually exclusive.

The idea that something can gain over the long run while being a basketcase in the short run is not intuitive, but it's how a lot of things work in life. By age 20 the average person can lose roughly half the synaptic connections they had in their brain at age two, as inefficient and redundant neural pathways are cleared out. But the average 20-year-old is much smarter than the average two-year-old. Destruction in the face of progress is not only possible, but an efficient way to get rid of excess.

Imagine if you were a parent and could see inside your child's brain. Every morning you notice fewer synaptic connections in your kid's head. You would panic! You would say, "This can't be right, there's loss and destruction here. We need an intervention. We need to see a doctor!" But you don't. What you are witnessing is the normal path of progress.